

The Michigan Seller Disclosure Statement

The seller property disclosure statement contains its purpose in the opening paragraph: To comply with the Seller Disclosure Act and to provide a disclosure of the condition and information concerning the property known by the seller. It puts the buyer on notice that the seller doesn't have specialized expertise in property condition, and as such, the disclosure is no guarantee about the property condition, and it doesn't substitute for a property inspection.

Under "Seller's Disclosure," the seller affirms that the statement isn't a warranty but is the seller's knowledge at the time of completion of the form. In signing the form, the seller is granting permission for the seller's agent to share the form with interested buyers and their agents. The buyer is put on notice that the disclosure is the seller's disclosure and not that of the seller's agent. Both parties acknowledge that the disclosure is not a contractual agreement between the buyer and seller.

Under "Instructions to Seller," the seller is directed that they must complete the form themselves, and that they must answer every question, attach additional paperwork if required, check "Unknown" if the seller has no knowledge of a question, and check "N/A" when the question doesn't apply. The seller is also put on notice that failure to provide the form can result in the termination of an otherwise binding contract.

The first checklist portion of the form asks the seller to affirm that certain systems and structures and appliances are in good working order, or if not, to check that they are not, and to provide an explanation if required.

The form then asks specific questions about systems and structure, including the roof, insulation, water leakage, heating systems, wells, septic and cesspool systems, plumbing, electrical, pest infestation, mineral rights, environmental issues, and flooding issues.

Additional environmental, encroachment, and legal issues are the subject of the next set of questions, beginning with "Other Items" on page two.

Next, the seller discloses how long the property has been owned and occupied by the seller, the buyer is again put on notice to obtain an inspection, is told of the availability of the sex offender registration, and that the property's tax bill may change due to the transfer of ownership.

The buyer and seller both sign and date the disclosure, and copies are provided to both parties and kept as part of the transaction file.